4. Ways and Means Advance

As a banker to the government the RBI gives temporary loan facilities to the centre and state governments. This temporary loan facility is called Ways and Means Advances (WMA).

The WMA will generally be restricted up toa maximum of three months from the date of making the advance. The interest rate on WMA is Repo rate. In case WMA outstanding continues for more than three months from the date of such advance, a higher interest of Repo rate plus one per cent is charged. A limit is set by the RBI in consultation with the Government of India under this facility.

If the Government exceeds the set limit it is overdraft. The overdraft is charged at a rate higher than the Repo rate.

The difference between the cash management bills and Ways and means advances are the first one is subscribed by others through auction like Treasury bills and the latter is a loan given by the RBI. Both are to meet temporary mismatch in the cash flow of the Government.

5. Market stabilisation Scheme: It is not a pure budgetary/fiscal instrument. It is a fiscal cum monetary instrument. It is a facility to control liquidity due to excess foreign exchange flow into the country. The foreign exchange flow leads to inflation as there will be a matching rupee circulation in the country. To avoid this, Government issues securities through RBI and mob up the excess liquidity/ money supply. The amounts subscribed are used by the Government for its needs till repayment. The interest is paid by the Government of India. The amount of issue and date of issue is decided by RBI in consultation with Ministry of Finance, Government of India.

6. Special Floating and Other Loans

Special loan schemes are launched to raise money and their interest is subject torevision periodically, in accordance with some pre-defined